# WARRANTY ATLAS · Illinois (IL)

Law last amended: 2021 (eff. 2022-01-01) · Next scheduled change: none found · Last verified: 2026-10-23 · Built 2026-10-23

Cites: 815 ILCS 710/6; 815 ILCS 710/12; 815 ILCS 710/13; 815 ILCS 710/29; 625 ILCS 5/5-103(a); 92 Ill. Adm. Code 1001.790

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | OEM time x multiplier | 710/6(b) |
| **Mfr-backed service contract** | **Conditional** | OEM time x multiplier | 710/6(f); also 710/6(b) ('time guide ... for extended warranty repairs') |
| **CPO warranty** | **Conditional** | OEM time x multiplier | 710/6(b) |
| **Independent service contract** | **Not addressed** | - | 710/6(a) |

Hourly rate: The dealer's 'same effective labor rate' for customer-pay repairs, computed from 100 sequential ROs chosen and submitted by the dealer, less simple-maintenance ROs. Floor: not less than the rates charged to retail customers for like nonwarranty service. The dealer may request a warranty labor-rate increase at most once per calendar year.

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: Yes. Written notice within the 30-day period stating the specific grounds for disapproval | 710/6(b) (claims paragraph) |
| **Payment** | 30 days after approval. Dealer filing deadline: Silent. Dealer may correct and resubmit disapproved claims within 30 days of receiving the disapproval; resubmitted claims are subject to… | |
| **Chargebacks** | 12 months; fraud: Beyond 1 year, the mfr may charge back a fraudulent claim only if it…. Audit within 1 year of payment or credit, and charge back false or unsubstantiated claims; the same 1-year rule covers incentive programs. A separate sentence bars any debit reduction or chargeback of any item on a warranty RO 'absent a finding of fraud or il… | 710/6(b) |
| **Rate resubmission** | Requests for warranty labor-rate increases at most once per calendar year. Sample: 100 ROs (RO count only). Excluded: Routine maintenance. | 710/6(b) |
| **Mfr response** | Silent; no response = approved: no rule in statute. Challenge: Forum: Motor Vehicle Review Board protest (Secs. 12(b), 29), arbitration if…. | 710/29 |
| **Penalties** | Damages and equitable relief incl. an injunction; treble damages if willful or wanton; mandatory reasonable attorney's fees, expert fees and costs to a dealer that substantially prevails (Sec. 13). MVRB protest or agreed arbitration (Sec. 12); MVRB protest costs: $250 processing fee and refundable $2,500 deposit per party, with Board e… | 815 ILCS 710/12, 710/13, 710/14, 710/29 |
| **Audit procedures** | Audit climate score 30/100 (Elevated restrictiveness; chargeback limits 27/75 + process and oversight 3/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: limited to the submission. | |

## Statute quotes

***Claims*** *(710/6(b) (claims paragraph)): "The motor vehicle dealer shall be permitted to correct and resubmit such disapproved claims within 30 days of receipt of disapproval. Any claims not specifically disapproved in writing within 30 days from their submission shall be deemed approved"*
***Chargebacks*** *(710/6(b)): "audit such claims within a one year period from the date the claim was paid or credit issued … No debit reduction or charge back … absent a finding of fraud or illegal actions"*
***Rate*** *(710/6(b)): "same effective labor rate (using the 100 sequential repair orders chosen and submitted by the dealer less simple maintenance repair orders) … warranty labor rate increases a maximum of once per calendar year"*
***Factory time*** *(710/6(b)): "In the event that a time guide has not been agreed to for warranty repairs, or said time guide does not define time for an applicable warranty repair, the manufacturer's time guide shall be used, multiplied by 1.5."*

## Notes

Sec. 6 gives no mfr response window, rebuttal standard or effective date for a labor-rate request; the only rate mechanics are the 100-RO 'same effective labor rate' sentence and the once-per-calendar-year limit on increase requests. Baseline: pay 'no less than the amount the retail customer pays for the same services with regard to rate and time'. Time: an agreed time guide for extended-warranty repairs may replace actual time. With no agreed guide, or where the guide does not define the operation, the mfr guide x 1.5 applies. Diagnostic time and TAC/engineering communication time (incl. hold time) are paid. No cost-recovery fees or surcharges. Sec. 6(f) extends duties to affiliates issuing a 'warranty or service or repair plan'. Sec. 6 has two overlapping claims paragraphs, both 30/30 with deemed approval. No administrative license sanction appears in the Franchise Act. Vehicle Code r…

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